

Michael Howell: The Global Money Pool is Drying Up

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Speaker Bio

Michael Howell is founder of CrossBorder Capital and author of the Capital Wars Substack, the definitive institutional resource on global liquidity flows. He pioneered the quantitative framework for tracking global liquidity — the total financing capacity of the global financial system — and has built models used by some of the world's largest macro hedge funds. His 2020 book *Capital Wars* formalized the thesis that global liquidity, not GDP, is the primary driver of asset prices. Howell coined the “Global Liquidity Cycle” framework now widely referenced across macro finance.

Executive Summary

Michael Howell delivers a structured warning: the global liquidity pool is entering a cyclical contraction phase, driven by three simultaneous drains — elevated oil prices, spiking US Treasury volatility (MOVE index), and a strengthening dollar — arriving precisely as the COVID-era debt maturity wall comes due. The convergence of these headwinds creates conditions analogous to prior financial crises, where too much debt piles up against too little refinancing capacity.

Howell's core reframe is structural: modern financial markets are not capital-raising venues but **debt refinancing mechanisms**, with ~80% of all primary financial transactions being debt rollovers. This means liquidity is not a backdrop condition but the *governing variable* for market direction — economics is downstream of markets, which are downstream of money flows. The GFC, COVID crash, and every major crisis of the past three decades share a common cause: debt refinancing demand swamped available liquidity.

The crisis signal Howell is watching is the repo markets. When financing capacity becomes strained, repo spreads bulge first — as they did at end-2025, forcing the Fed to restart balance sheet expansion via “Reserve Management Purchases” (QE by another name, adding ~\$200B). Despite official narratives of QT, the Fed balance sheet is expanding again. Meanwhile, the Trump administration is running its own stealth monetization: issuing massive short-duration T-bills absorbed by banks, which is textbook monetary inflation — the mechanical explanation for why US M2 just hit an all-time high and gold is surging.

The yield curve call is contrarian and precise: consensus entered 2026 expecting bear steepening (long-end rising faster). Howell's model had bear *flattening*, with bull flattening to follow — exactly what is playing out, driven not by policy tightening but by real-economy demand drawing liquidity away from financial markets (capex, AI infrastructure spend, working capital needs, oil price effects).

PM implication: Long bonds (bull flattening positioning, buy duration). Long gold — monetary inflation from T-bill monetization is structural. Short/underweight risk assets leveraged to cheap liquidity conditions. Watch MOVE index and repo spreads as leading crisis indicators — stress in these precedes equity drawdowns. SOFR spreads widening is the first warning sign; a repeat of late-2025 repo strain at higher debt-maturity-wall volumes would force another emergency Fed QE. Iran war impact on GDP is modest (~0.5–0.75% of world GDP) but the liquidity drain from \$40/bbl oil premium (+\$120B drawn from financial sector per \$10/bbl × ~4 standard units) is disproportionately large.

Listen or Skip?

Verdict: Must-listen for rates, macro, and credit traders — Howell's liquidity framework is the most rigorous framework for understanding why yield curves, repo markets, and gold are doing what they're doing right now

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★☆
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Macro PMs, rates traders, credit analysts, anyone trying to understand the yield curve flattening and gold bid

Skip if: Looking for equity stock picks or short-term tactical trades — Howell operates at the structural/cyclical level

Key Quotes

1. *"Money moves markets. Economics is downstream of markets and I would argue that geopolitics is downstream of economics."*
2. *"Something like 80% of all financial transactions — I'm talking of primary transactions in financial markets — are basically debt refinancing transactions now."*
3. *"Each \$10 increase in the oil price probably cuts about 3% from global liquidity, which is a meaningful figure — certainly a lot more than the impact on GDP."*
4. *"A 10-point increase in the MOVE index can take as much as 4% out of global liquidity. Collateral markets operate via repo haircuts... if Treasury market volatility starts to jump, the collateral multiplier will shrink."*
5. *"It's not happening because policy makers are tightening. It's happening because the demands of the real economy are increasing — things like capex spend, working capital demands, higher oil prices."*
6. *"What is being missed is that behind the scenes banks' holdings of treasury debt are growing two to three percentage points faster each year than M2 money supply. That's monetization. And that's why the gold price is up."*
7. *"The Trump administration is issuing a lot of very short-term debt, either treasury bills or very short-dated treasury notes. Who typically buys that debt? Banks and credit providers. Economic textbooks will tell you: that's monetization, pure and simple."*

1) Executive Dashboard (PM Read)

Dimension	Howell's Read	Confidence
Global Liquidity Cycle	Turning down — real economy demands draining financial pool	High
Yield Curve	Bear flattening → Bull flattening — consensus wrong on steepening	High
Fed Posture	Stealth QE — balance sheet expanding (~+\$200B via RMP) despite QT narrative	High
US M2 / Inflation	All-time high — driven by T-bill monetization, banks buying govt debt	High
Iran War / Oil Impact	Minor GDP hit (~0.5–0.75% world GDP) but major liquidity drain (\$40/bbl premium)	Medium
Financial Crisis Risk	Elevated but not imminent — debt maturity wall coming due, repo spreads to watch	Medium
Gold	Structurally bid — monetary inflation from bill monetization is the mechanism	High
Repo / Funding Markets	Key stress indicator — SOFR spreads, MOVE index are leading signals	High

2) Key Investable Insights

Top 3 Investable Ideas:

- Long duration / long bonds (bull flattening trade)** — Howell's liquidity cycle model predicted yield curve flattening mid-2026 while consensus was positioned for steepening. That consensus is being unwound now. The next phase is bull flattening — long-end yields falling as liquidity cycle turns down. This is the highest-conviction structural call in the interview. Buy 10Y+ Treasuries or TLT.
- Long gold — T-bill monetization is structural, not episodic** — Banks are absorbing Treasury T-bills faster than M2 is growing (~2–3 ppts/year gap). This is textbook monetization. US M2 hit all-time highs. Howell explicitly names this as the mechanical driver of the gold bid. Not a narrative trade — it's balance sheet accounting. Gold remains the cleanest hedge.
- Watch repo spreads and MOVE as crisis canaries** — Every major liquidity crisis manifests first in repo markets. Late-2025 SOFR spread spike forced the Fed's hand (RMP/QE). The next episode will be at higher debt volumes (COVID-era maturity wall). Short high-yield credit or reduce risk if MOVE > 130 and repo spreads widen materially.
- Fade bear steepener macro consensus** — Most macro funds entered 2026 short front-end / long back-end (bear steepener). Howell's model has been flattening — they're offside. Consensus unwind creates momentum in flatteners. Tactical: receive 2s10s spread.

3) Transmission & Cross-Asset Map

Iran War → Oil +\$40/bbl
 → \$10 oil = -3% global liquidity (disproportionate vs GDP impact)
 → Working capital demands rise (oil sector, manufacturing)
 → More money in real economy = less in financial markets

MOVE Index ↑ (Treasury volatility)
 → Repo haircuts widen
 → Collateral multiplier shrinks
 → Global liquidity contracts (10pt MOVE = -4% liquidity)
 → 80% lending is collateral-based (World Bank)

Dollar ↑ (+3-5% since Iran crisis)
 → International dollar borrowing becomes costlier
 → Offshore credit demand falls
 → Global liquidity contracts (10% USD = -10% global liquidity)

COVID debt terming-out → Maturity wall 2026-2030
 → Higher-rate refinancing at lower balance-sheet capacity
 → Repo spread stress → Fed forced to QE

T-bill issuance (Bessent / Yellen playbook) → Banks absorb
 → Bank balance sheet = monetization
 → M2 grows faster than economic output → Gold bid

Real economy capex (AI infrastructure, working capital)
 → Draws liquidity from financial sector
 → Bear flattening now → Bull flattening next

4) Regime & Scenario Analysis

Base Case (Howell's implicit read): - Iran war impact subsides relatively quickly → GDP hit limited to 0.5–0.75% world GDP - Oil prices remain elevated (\$40 premium persists) → Ongoing ~12% liquidity drag - Liquidity cycle continues down through mid-2026 → Bear then bull flattening plays out - Fed maintains stealth QE (RMP) → balance sheet expands, prevents acute crisis - Gold structurally bid via monetization channel

Bear Case (Financial Crisis): - Iran war escalates / oil spikes further → liquidity drain compounds - COVID debt maturity wall hits in volume → repo market stress episode (2x late-2025 SOFR spike) - Fed too slow or constrained to respond → credit markets seize - Collateral multiplier collapse (MOVE > 150) → GFC-type cascade - Signal: SOFR spreads, MOVE index, bond term premium all spike simultaneously

Bull Case: - Iran ceasefire → oil drops back → \$40 liquidity drag reverses - Fed accelerates QE (RMP) → balance sheet expansion overshoots, financialization reflate - Real-economy capex demand peaks → liquidity flows back to financial sector - Bull steepening or full bull flattening rally in bonds and risk assets

Key Phase Transition: Howell identifies we are in **bear flattening** (2H 2025–1H 2026), transitioning to **bull flattening**. The consensus was still positioned for **bear steepening** — that phase has already passed. Being one phase behind the liquidity cycle is the source of hedge fund losses in SOFR/rates trades.

5) Hard Data & Verifiable Claims

- **Data:** Iran war GDP impact estimated at ~0.5–0.75% of world GDP (Howell's current model)
- **Data:** Tariff tantrum (2025) impact was ~2x the Iran war hit on world GDP
- **Data:** COVID crisis was ~5–6x the Iran war hit on world GDP
- **Data:** ~80% of all primary financial market transactions are debt refinancing (Howell)
- **Data:** ~80% of all lending is collateral-based (World Bank figure cited)
- **Data:** Debt refinancing swamps new capital investment approximately 4-to-1
- **Data:** Each \$10 oil price increase cuts ~3% from global liquidity (CrossBorder Capital model)
- **Data:** 10-point increase in MOVE index cuts ~4% from global liquidity (CrossBorder model)
- **Data:** 10% dollar appreciation = ~10% global liquidity contraction (1-for-1 relationship)
- **Data:** Fed balance sheet expanded ~\$200B via Reserve Management Purchases (RMP) since start of 2026
- **Data:** US M2 hit all-time high approximately 3–4 days before recording (early April 2026)

- **Data:** Banks' holdings of Treasury debt growing ~2–3 percentage points/year faster than M2
 - **Claim:** Dollar has appreciated ~3–5% since Iran crisis started
 - **Claim:** MOVE index has “jumped quite noticeably” since the Iran crisis
 - **Claim:** Yield curve was expected to steepen (consensus entering 2026) — instead, it is flattening
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6) BS & Bias Filter

Credibility strengths: - Howell has a 30+ year quantitative track record; his 2025 bearish liquidity calls preceded the SOFR spike - The mechanics he describes (repo haircuts, collateral multiplier, monetization via T-bill/bank absorption) are well-documented financial plumbing — not narrative - Specific quantitative relationships (\$10 oil = -3% liquidity; 10pt MOVE = -4% liquidity) are model-derived and falsifiable - The yield curve call (bear flattening vs consensus steepening) appears to be playing out in real time at recording

Watch for: - This is Part 1 of a 2-part interview; Part 2 (China, bonds, oil, gold, market mispricing) is paywalled on Substack. This interview covers framework and crisis risk; the actionable positioning is likely in Part 2 - Howell has a structural bearish disposition on financial system fragility — valid but can lead to premature crisis calls - The \$10 oil / -3% liquidity relationship is his proprietary model; magnitude estimates should be treated as directional, not precise - Interview recorded ~April 12, 2026 — Iran war context specific to that moment; oil scenario may have evolved

Verdict: High-quality, intellectually honest interview. Howell is careful to distinguish between “sickly muddling through” and acute crisis — the base case is the former, not imminent collapse. The crisis risk is real but tail-weighted, contingent on maturity wall + repo stress episode.

7) PM Bottom Line

The liquidity cycle is the master variable. Howell is watching three drains operating simultaneously: oil (\$40 premium = ~12% global liquidity), MOVE index spike (-4% per 10 points), and dollar strength (-3–5% since Iran crisis). These compound into a ~15–20% liquidity headwind from the Iran crisis alone — not yet catastrophic but meaningful and persistent as long as oil stays elevated.

The structural thesis is the debt maturity wall: COVID-era borrowers termed out debt at zero rates, creating a 2026–2030 refinancing surge arriving at higher rates and thinner bank balance sheets. Repo markets are the pressure valve — late-2025 SOFR spike was the warning shot. The Fed responded with ~\$200B of stealth QE (RMP). The next episode will be larger.

The monetization signal is concrete: banks absorbing T-bills at 2–3 ppts faster than M2 growth = monetary inflation = gold bid. This is not a narrative — it's balance-sheet arithmetic.

Positioning: LONG bonds (bull flattening approaching), LONG gold (monetization structural), WATCH repo spreads and MOVE as crisis triggers. FADE bear steepener consensus trades. REDUCE risk exposure into MOVE > 130 / SOFR spread widening. Part 2 (paywalled) covers China, oil, and specific market mispricing — worth reading for full trade framework.